EUROPEAN COMMISSION
DG Competition

Case M.11383 - COOPER / VIATRIS (EUROPEAN OTC BUSINESS)

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 10/01/2025

EUROPEAN COMMISSION

Brussels, 10.1.2025
C(2025) 177 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Cooper Consumer Health S.A.S.
Place Lucien Auvert
77000 Melun
France

Dear Sir or Madam,

Subject: Case M.11383 – COOPER / VIATRIS (EUROPEAN OTC BUSINESS) Approval of Uriach as purchaser of the Bebegel Divestment Business following your letter of 8 October 2024 and the Trustee's opinion of 13 December 2024

1. FACTS AND PROCEDURE

(1) By decision of 26 June 2024 (the "**Decision**") based on Article 6(1)(b) in conjunction with Article 6(2) of Council Regulation No 139/2004[1], the Commission declared the acquisition of sole control by Cooper Consumer Health S.A.S. ("**Cooper**", France)[2] over the European over-the-counter ("**OTC**") business of Viatris Inc. (the "**Target**", France and Italy) (together with Cooper, the "**Parties**") compatible with the internal market, subject to the conditions and obligations set out in the final commitments submitted on 24 June 2024 and annexed to the Decision (the "**Commitments**").[3]

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1 OJ L 24, 29.1.2004, p. 1 (the 'Merger Regulation'). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ('TFEU') has introduced certain changes, such as the replacement of 'Community' by 'Union' and 'common market' by 'internal market'. The terminology of the TFEU will be used throughout this decision.

2 Cooper is solely controlled by CVC Capital Partners SICAV-FIS S.A. ("**CVC**", Luxembourg), a private equity investment firm.

3 All defined terms in this decision shall have the same meaning as in the Commitments unless otherwise defined herein.

(2) In particular, under the Commitments, the Parties undertook to divest to a suitable purchaser or purchasers:

(a) The rights, title and interests in Bebegel including the right to develop, manufacture and use Bebegel, with a view to its sale and marketing in any form in Portugal and, at the purchaser's option, in France (the "**Bebegel Divestment Business**"); and

(b) The rights, title and interests in Otowaxol including the right to develop, manufacture and use Otowaxol, with a view to its sale and marketing in any form in Germany and, at the purchaser's option, in Ireland.

(3) This decision concerns the approval of the proposed purchaser of the Bebegel Divestment Business.

(4) By the reasoned proposal dated 8 October 2024, Cooper proposed Grupo J. Uriach, S.L. (Spain) (together with its subsidiaries "**Uriach**") for approval by the Commission as purchaser of the Bebegel Divestment Business. The Bebegel Divestment Business is intended to be held by Uriach Lusa S.A. ("**Uriach Lusa**", Portugal). Cooper also submitted a copy of the proposed asset purchase agreement entered into with Uriach Lusa on 1 October 2024 (the "**Bebegel APA**").

(5) The Bebegel APA was amended on 28 November 2024 (the "**APA Amendment**"). The APA Amendment was submitted to the Commission on 11 December 2024. The Bebegel APA as amended by the APA Amendment together with its schedules including a transitional services agreement for the transfer of the marketing authorisation[4] (the "**TSA**") and Form of Right to Use Viatris Names are referred to as the "**Transaction Documents**".

(6) The Bebegel APA sets out the terms of the sale and transfer of the Bebegel Divestment Business to Uriach. The Transaction Documents are conditional on the Commission approving Uriach as the purchaser of the Bebegel Divestment Business and merger control clearance in Portugal.

(7) Under the Bebegel APA, Cooper shall assign or use its best efforts to assign the relevant parts of the contract manufacturing agreement related to Bebegel to Uriach Lusa. The Bebegel APA foresees a back-to-back arrangement between Cooper and Uriach Lusa for a duration of up to three years in case an assignment cannot be obtained on substantially the same terms and conditions.

(8) On 13 December 2024, Monitoring Trustee Partners B.V., acting as the monitoring trustee (the "**Trustee**"), submitted its assessment of Uriach's suitability as a purchaser (the "**Reasoned Opinion**"). In particular, the Trustee indicated that it considers Uriach to fulfil the criteria of the purchaser requirements set out in paragraph 16 of the Commitments. In the Reasoned Opinion, the Trustee also indicated that, on the basis of the Transaction Documents, the Bebegel Divestment Business would be sold in a manner consistent with the Commitments.

[4] The marketing authorisation for Bebegel is held by BGP Products Unipessoal, LDA ("**BGP Products**"), an affiliate of Viatris, which will directly transfer the marketing authorisation to Uriach Lusa.

2. ASSESSMENT OF THE PROPOSAL

(9) According to paragraphs 16 and 17 of the Commitments, the purchaser must fulfil certain criteria as provided below (the "**Purchaser Criteria**") and the divestment businesses are to be sold in a manner consistent with the Commitments including their objective to bring about a lasting structural change in the market.

2.1. Assessment of the Purchaser Criteria

(10) As set out in paragraph 16 of the Commitments, the purchaser(s) of the Bebegel Divestment Business must fulfil the following criteria:

(a) The Purchaser(s) shall be independent of and unconnected to the Notifying Party and their Affiliated Undertakings (this being assessed having regard to the situation following the divestiture);

(b) The Purchaser(s) shall have the financial resources, proven expertise and incentive to maintain and develop the relevant Divestment Business as a viable and active competitive force in competition with Cooper and other competitors;

(c) The acquisition of the relevant Divestment Business by the Purchaser(s) must neither be likely to create, in light of the information available to the Commission, prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the Purchaser(s) must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Businesses; and

(d) The Purchaser of the Bebegel Divestment Business must have a sales and marketing presence and access to an appropriate distribution network in Portugal in the relevant sales channels (including wholesalers, hospitals and pharmacies) (…).

2.1.1. Description of the proposed purchaser

(11) Uriach Lusa is the Portuguese wholly-owned subsidiary of Grupo J. Uriach, S.L., which is jointly controlled by Corporación J. Uriach, S.A. (Spain) (owned by several members of the Uriach family) and Provence Investment Sàrl (Luxembourg), a special purpose vehicle, which in turn is indirectly controlled by the asset manager Intermediate Capital Group plc ("**ICG**", United Kingdom).

(12) Uriach is a Spanish pharmaceutical group, which was founded in 1838. Uriach is currently focused exclusively on natural consumer healthcare and its portfolio includes brands such as Aquilea, EMS, Fisiocrem, Halibut, Laborest, Pediakid and Sidroga. In addition to its presence in Spain, Uriach has subsidiaries in Austria, Belgium, Canada, Czech Republic, France, Germany, Italy, Portugal (i.e. Uriach Lusa), Romania, Slovakia and Switzerland. In addition, Uriach has a strategic partnership for marketing its brands in Greece and has distribution agreements, currently covering over 30 countries worldwide.

(13) Uriach entered the Portuguese market in 2015 by establishing its own salesforce to promote its Aquilea and Fisiocrem brands. Uriach has since expanded its presence in Portugal through various acquisitions. Uriach Lusa is based in Lisbon and has […]. Uriach Lusa has 13 active brands in Portugal, comprising of 85 products.

2.1.2. Independence from Cooper

(14) Pursuant to paragraph 16(a) of the Commitments, a suitable purchaser must be independent of and unconnected to Cooper and its Affiliated Undertakings.[5]

(15) As noted above, Uriach is jointly controlled by Corporación J. Uriach S.A. and ICG. Cooper is solely controlled by CVC.

(16) There are no common shareholders between Cooper, on the one hand, and Uriach and its Affiliated Undertakings, on the other hand nor *vice versa* (i.e. between Uriach, on the one hand, and Cooper and its Affiliated Undertakings on the other). Also, amongst the 20 largest shareholders of ICG and CVC, only one common shareholder exists, namely AllianceBernstein L.P., which holds below 3% of the total outstanding shares in each of the respective companies.

(17) Cooper has confirmed that neither CVC nor any of its Affiliated Undertakings is invested in Uriach. Cooper has also confirmed that it does not have a shareholding in ICG. Moreover, CVC is not aware of any shareholdings that it or any of its Affiliated Undertakings may have in ICG, and notes that if there were to be such a shareholding it would be below 1.8% (i.e. the percentage that the smallest publicly known shareholder has in ICG). Furthermore, neither Cooper nor CVC has any investments in any ICG Affiliated Undertaking.[6]

(18) Uriach, on the other hand, has confirmed that neither ICG nor any of its Affiliated Undertakings has any shareholding in Cooper. Uriach has also confirmed that it does not have any shareholding in CVC. Furthermore, ICG (including its Affiliated Undertakings) does not have any investment in any CVC Affiliated Undertaking.[7] ICG has however invested in a number of active CVC Funds. These investments are small minority Limited Partnership ("LP") interests that do not give ICG any strategic control over the respective funds or the fund's investments.[8]

(19) The above has also been confirmed by the Trustee's independent research, which did not reveal any other links between Uriach and its Affiliated Undertakings, on the one hand, and CVC and its Affiliated Undertakings, on the other hand.

(20) Cooper and Uriach have confirmed that no directors of Uriach or ICG hold directorships in CVC or any of its Affiliated Undertakings and that no directors of Cooper or CVC hold directorships in ICG or any of its Affiliated Undertakings.

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5 For the purposes of this decision, "Affiliated Undertakings" refers to undertakings controlled by a company and/or by the ultimate parents of this company, whereby the notion of control shall be interpreted pursuant to Article 3 of the Merger Regulation and in light of the Commission Consolidated Jurisdictional Notice under Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings (the "Consolidated Jurisdictional Notice").

6 Cooper has also confirmed that there is no Affiliated Undertaking of CVC that has a controlling stake in any ICG Affiliated Undertaking and, to the best of their knowledge, that would have any non-controlling minority stakes in these companies either.

7 For the sake of clarity, Recordati Industria Chimica E Farmaceutica S.P.A. ("**Recordati**") is a publicly-traded company with a wide and shifting investor base. Based on the publicly reported lists of its investors (which start with stakes as low as 1.435%), it is clear that no ICG Affiliated Undertaking holds anything beyond that level of shareholding in Recordati.

8 ICG also has an investment in CVC Capital Partners Pachelbel (A) SCSp which, together with CVC Fund VIII, holds the shares in Multiversity S.p.A. ("**Multiversity**"), a CVC-controlled portfolio company. Whilst its investment in CVC Capital Partners Pachelbel (A) SCSp represents […], ICG has no strategic decision-making rights over either the fund or Multiversity, both of which are solely controlled by CVC.

Regarding ICG Affiliated Undertakings, ICG has confirmed that there are no common directorships between ICG Affiliated Undertakings, on the one hand, and Cooper or Recordati, on the other. The Trustee's review has verified and confirmed that none of the members of the board of directors of CVC and/or Cooper is active as a member of the board of directors of Uriach, and/or ICG, and *vice versa*.

(21) Uriach and Cooper have confirmed that there are no collaboration agreements, joint-ventures, licensing agreements and acquisitions or divestures between Uriach and its Affiliated Undertakings and CVC and its Affiliated Undertakings, except for limited trading activities relating to sales of Cooper, along with Recordati and Lipton Teas and Infusions (both controlled by CVC), made via Naturitas, an e-commerce platform owned by Uriach. The combined sales by these entities accounted for a marginal share of Naturitas' 2023 sales in Portugal and of its worldwide sales. Also, on the level of Uriach, the combined sales by these entities accounted for a marginal share of its total sales in 2023. Similarly, Cooper's total sales via Naturitas in 2023 accounted for a marginal share of Cooper's total sales in 2023.

(22) In addition, Cooper confirmed that none of its top 30 customer or supplier agreements are with any ICG Affiliated Undertakings and Uriach confirmed that none of its top 20 customer or supplier agreements are with any CVC Affiliated Undertakings. On this basis, the Trustee concludes that the existing commercial arrangements do not impede the independence of Uriach and its Affiliated Undertakings.

(23) Based on the TSA mentioned above in paragraph (5), BGP Products shall provide Uriach Lusa certain transition services relating to the transfer of the marketing authorisation for Bebegel in Portugal. The agreements for these services, have pre-defined termination dates or will be terminated before that date once the services are no longer required by Uriach Lusa. The Trustee considers that, following the termination of the transitional agreements, there will be no link between Uriach and Cooper in this respect; and that the transitional agreements thus do not impede the independence of Uriach.

(24) Based on its review, the Trustee has concluded that there are no structural and only certain limited commercial relationships between Cooper and its Affiliated Undertakings on the one side, and Uriach and its Affiliated Undertakings, on the other side. The Trustee considers that the amounts involved with the commercial relationships are immaterial and, therefore, Uriach is considered to be sufficiently independent from CVC and its Affiliated Undertakings.

(25) Based on the information above and the Trustee's Reasoned Opinion, the Commission concludes that Uriach fulfils the purchaser criterion of being independent of and unconnected to Cooper and its Affiliated Undertakings.

2.1.3. Financial resources, proven expertise and incentive to maintain and develop the Divested Business as a viable and active competitor

(26) Pursuant to paragraph 16(b) of the Commitments, the purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Bebegel Divestment Business as a viable and active competitive force, in competition with Cooper and other competitors.

2.1.3.1. Financial resources

(27) In 2023, Uriach had a turnover of approximately […] representing an […] compared to the previous year. Uriach Lusa's turnover in 2023 was approximately […] representing an […] compared to the previous year. The EBITDA margin of Uriach is […] ([…]) and […] for Uriach Lusa ([…]). The gross profit of each of Uriach Lusa and Uriach amounted to approximately […] of their respective total sales.

(28) The Trustee considers Uriach to have a strong balance sheet with consolidated equity amounting to […] and a net debt/EBITDA ratio of […]. More generally, the Trustee concludes that both Uriach and Uriach Lusa have shown strong financial performance during the most recent years.

(29) Uriach agrees to pay […] and the value of the inventory for the Bebegel Divestment Business. The acquisition of the Bebegel Divestment Business will be funded by […]. As per a commitment letter, dated 3 October 2024 Uriach will provide […] to Uriach Lusa. In addition, Uriach is also committed to subsequently provide any financial assistance that might be necessary to support the associated working capital needs in relation to the Bebegel Divestment Business […].

(30) The Trustee deems Uriach to have sufficient financial resources and capabilities to acquire the Bebegel Divestment Business and to maintain and develop it going forward.

(31) Based on the information above and the Trustee's Reasoned Opinion, the Commission concludes that Uriach fulfils the criterion of having the financial resources to maintain and develop the Bebegel Divestment Business as a viable and active competitive force.

2.1.3.2. Proven expertise

(32) Uriach has a long history and proven expertise in supplying medical OTC products in numerous countries including Portugal. As explained above, Uriach has been active in Portugal since 2015 and has gradually expanded its presence through several acquisitions. Today Uriach is a marketing authorisation holder and distributor for a portfolio that consists of over 85 products, covering medicines, medical devices, food supplements and cosmetics.

(33) Uriach Lusa has a salesforce of […] and is active across the main sales channels in which the Bebegel Divestment Business is active, including wholesalers, pharmacies and pharmacy groups. More specifically, the company performs direct sales to approximately […] of the pharmacies in Portugal with indirect sales covering almost the entirety of the remaining pharmacies. Moreover, Uriach already has pre-existing relationships with the top customers of the Bebegel Divestment Business.

(34) As regards paediatric care, Uriach has some prior experience in this area outside of Portugal including Pediakid (dietary supplements specifically for children) in France and Laborest (nutraceutical products including food supplements against a range of issues, such as respiratory health, digestion, and bone health) in Italy. The Trustee considers that such expertise could benefit and facilitate the integration of the Bebegel Divestment Business. Uriach has also noted that it does not foresee

any specific differences related to the commercialisation of an OTC product for children compared to that of adults.

(35) In addition to the above, Uriach has previous experience in expanding through corporate acquisitions and integrations of OTC brands in various markets. Uriach submits that it has a dedicated integration and synergies management office to facilitate the coordination of the integration of acquisitions.

(36) Based on its review, the Trustee is satisfied that Uriach has the required expertise as required by the Purchaser Criteria.

(37) Based on the information above and the Trustee's Reasoned Opinion, the Commission considers that Uriach has proven expertise to maintain and develop the Bebegel Divestment Business as a viable and active competitive force in competition with Cooper and other competitors.

2.1.3.3. Incentive

(38) Uriach has explained that its interest in the Bebegel Divestment Business is mainly driven by the solid reputation of the business and the brand's positioning in the Portuguese market, and that it is consistent with its expansion strategy. Uriach considers Bebegel's high quality and its broad channel distribution to be aligned with Uriach's vision and business model.

(39) As explained in further detail below in paragraph (45), the Bebegel Divestment Business is complementary to Uriach's existing product portfolio (both in Portugal and in other markets), thereby allowing it to enter a new market segment. According to Uriach, Bebegel would become the fourth biggest product (in terms of sales) in Uriach's Portuguese portfolio and the incorporation of the Bebegel Divestment Business would enhance its position in the Portuguese market and financial performance, as well as support its long-term growth both in Portugal and on a consolidated level. This is further supported by the solid cash flow generation of the Bebegel Divestment Business' on a standalone basis. Going forward, under its ownership Uriach aims to increase the sales of Bebegel through its commercial capabilities in Portugal.

(40) Furthermore, the integration of the Bebegel Divestment Business is expected to be relatively straightforward given that it involves only one product, already well established in Portugal.

(41) Based on discussions between the Trustee and Uriach, the Trustee is confident that Uriach is dedicated to incorporating the Bebegel Divestment Business into the broader Uriach organisation as soon as possible post-closing, and to maintain and grow the business going forward. The Trustee notes that Uriach is partially a family-owned company and that the individuals who have decided to acquire the Bebegel Divestment Business have done so […], which should further incentivise Uriach to make an economic success of the acquisition of the Bebegel Divestment Business.

(42) The Trustee's Reasoned Opinion concluded that Uriach would have the incentive and objective to maintain the Bebegel Divestment Business as required by the Purchaser Criteria.

(43) Based on the above, the Commission considers that Uriach has the incentives to maintain and develop the Bebegel Divestment Business as a viable and active competitive force in competition with Cooper and other competitors.

2.1.4. Absence of prima facie competition problems

(44) Pursuant to paragraph 16(c) of the Commitments, the acquisition of the Bebegel Divestment Business by the purchaser must neither be likely to create *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(45) With regard the competitive interactions between the Bebegel Divestment Business and Uriach:

(a) Uriach is not active in Portugal in the manufacture or supply of pharmaceutical products in the same ATC3 or ATC4 class as Bebegel, nor does its portfolio include any products used to treat constipation in infants.

(b) For completeness, Uriach's current portfolio includes products against constipation supplied in Portugal under the Aquilea Lax and Depuralina brands. However, as these products are food supplements or medical devices, and not medicines, these do not give rise to any overlaps in the relevant ATC3 or ATC4 classes (i.e. A6A – drugs for constipation or A6A4 – laxative enemas). Moreover, considering that these products are not intended to treat constipation in infants, these do not appear to be substitutable with Bebegel.

(c) Uriach has confirmed that the transaction does not give rise to any vertical links.

(46) The purchase of the Bebegel Divestment Business by Uriach is subject to approval by the Portuguese competition authority. The acquisition of the Bebegel Divestment Business by Uriach was cleared by the Portuguese competition authority on 28 November 2024. No other governmental or regulatory approvals required to complete the transaction have been identified.

(47) Based on the information available, the Trustee considers that the approval of Uriach as the purchaser of the Bebegel Divestment Business would not create any prima facie competition concerns, nor would it give rise to a risk that the implementation of the Commitments will be delayed.

(48) Based on the above, the Commission considers that the acquisition of the Bebegel Divestment Business by Uriach satisfies the criteria set out in paragraph 16(c) of the Commitments.

(49) This prima facie assessment is based on the information available for the purpose of this buyer approval and does not prejudge the competition assessment of the acquisition of the Bebegel Divestment Business by Uriach by a competent competition authority under applicable merger control rules.

2.1.5. Sales and marketing presence, and access to an appropriate distribution network in Portugal

(50) Pursuant to paragraph 16(d) of the Commitments, a suitable purchaser must have a sales and marketing presence and access to an appropriate distribution network in Portugal in the relevant sales channels (including wholesalers, hospitals and pharmacies).

(51) As discussed in Section 2.1.3.2 above, Uriach is currently marketing 85 products in Portugal and has an appropriate distribution network in Portugal in the main sales channels (i.e. wholesalers and pharmacies). While Uriach is not currently distributing any of its products through the hospital channel in Portugal, at group level it has experience in this segment, and it is foreseen that Bebegel's ongoing hospital business will be overseen by a senior Uriach Key Account Manager, with dedicated support from Uriach's Iberian medical department team. It is further noted that the Bebegel Divestment Business' sales through the hospital channel are limited (approx. […] of the total revenues). In light of the limited presence of the Bebegel Divestment Business in the hospital channel and Uriach's ability to leverage hospital experience outside of Portugal, the Trustee does not consider Uriach's absence in this channel in Portugal to be problematic.

(52) In its Reasoned Opinion, the Trustee found that Uriach fulfils the Purchaser Criteria as included in paragraph 16(d) of the Commitments.

(53) Based on this information and the Trustee's Reasoned Opinion, the Commission considers that Uriach has the required sales and marketing presence, and access to an appropriate distribution network in Portugal in the relevant sales channels.

2.1.6. Conclusion

(54) In view of the above, the Commission concludes that Uriach meets the Purchaser Criteria as laid down in paragraph 16 of the Commitments.

2.2. Transaction Documents

(55) Paragraph 17 of the Commitments states: "*Cooper must be able to demonstrate to the Commission that the purchaser(s) fulfils the Purchaser Criteria and that the Divestment Businesses is being sold in a manner consistent with the Commission's Decision and the Commitments*".

(56) As indicated in paragraph 5 above, the Transaction Documents consist of the Bebegel APA as amended by the APA Amendment and its schedules, which include the TSA and Form of Right to Use Viatris Names. The TSA and Form of Right to Use Viatris Names are in agreed form and will be executed at the time of closing of sale of the Bebegel Divestment Business.

(57) The Commission has been provided with copies of the Transaction Documents. The Commission has reviewed the Transaction Documents and is satisfied that these enable the Bebegel Divestment Business to be sold in accordance with the Commitments.

(58) The Trustee has also confirmed the terms of the Transaction Documents to be materially reflecting in Parties' obligations set out in the Commitments.

(59) Based on the information above and the Trustee's Reasoned Opinion, the Commission concludes that the Transaction Documents are consistent with the Commitments and that the Bebegel Divestment Business is being transferred in a manner consistent with the Commitments.

3. CONCLUSION

(60) On the basis of the above assessment, the Commission approves Uriach as a suitable purchaser for the Bebegel Divestment Business for the above-mentioned reasons.

(61) On the basis of the Transaction Documents, the Commission further concludes that the Bebegel Divestment Business is being sold in a manner consistent with the Commitments.

(62) This decision only constitutes approval of the proposed purchaser identified herein and of the Transaction Documents. This decision does not constitute a confirmation that the Parties have complied with their Commitments.

(63) This decision is based on paragraphs 16 and 17 of the Commitments attached to the Commission Decision of 26 June 2024.

For the Commission

(Signed)
Olivier GUERSENT
Director-General